PAID VU LMS HANDLING by Mam Mehwish 03184148783

Past Papers for Mids./Finals are also Available

1. What best describes a market economy?

- Prices are determined by the government
- Prices are determined by market forces
- Prices are determined by elite group
- Prices are determined by feudalists
- Correct option: Prices are determined by market forces

2. When government gives subsidy to producers on production of a good, supply of that good will:

- Remain unchanged
- Undetermined
- Decrease
- Increase
- Correct option: Increase

3. What will happen to the demand for a good A when the price of its substitute increases?

- Demand will first decrease for good A, then start increasing
- Demand will decrease for good A
- Demand will increase for good A
- Demand will not change for good A
- Correct option: Demand will increase for good A

4. Which of the following is the optimal choice?

- Rational choice
- Random choice

MAM MEHWISH 03184148783

- Irrational choice
- Unplanned choice
- Correct option: Rational choice

5. Which of the following is a factor of production?
- Money
- Land
- Consumption
- Expenditure
- Correct option: Land

6. Points on the production possibility frontier (PPF) show that:
- Resources are not utilized
- Overutilization of resources
- Efficient use of resources
- Inefficient use of resources
- Correct option: Efficient use of resources

7. The law of supply states that the quantity supplied will go up if:
- Price goes up, other things remaining same.
- Income goes up
- Income goes down
- Price goes down, other things remaining same.
- Correct option: Price goes up, other things remaining same.

8. If there is a decrease in consumer's income from Rs.16, 000 to Rs.10, 000, the change in the quantity demanded of normal goods can be shown by:
- Shifting the demand curve rightward.
- Moving down along the same demand curve.

MAM MEHWISH 03184148783

- Moving up along the same demand curve.
- Shifting the demand curve leftward.
- Correct option: Shifting the demand curve leftward.

9. Other things remaining same, when raw material costs of an industry increase then:

- The supply curve shifts to the left.
- The demand curve shifts to the left.
- The supply curve shifts to the right.
- The demand curve shifts to the right.
- Correct option: The supply curve shifts to the left.

10. If there is a decrease in consumer's income from Rs.16, 000 to Rs.10, 000, the change in the quantity demanded of normal goods can be shown by:

- Shifting the demand curve rightward.
- Moving down along the same demand curve.
- Moving up along the same demand curve.
- Shifting the demand curve leftward.
- Correct option: Shifting the demand curve leftward.

1. Which of the following moves the economy from equilibrium to a state of shortages?

- Per unit tax imposed by the government
- Price ceiling
- Price floor
- Subsidy given by the government
- Correct option: Price ceiling

2. Other things remaining same, when raw material costs of an industry increase then:

- The supply curve shifts to the left.
- The demand curve shifts to the left.

MAM MEHWISH 03184148783

- The supply curve shifts to the right.

- The demand curve shifts to the right.

- Correct option: The supply curve shifts to the left.

3. If a 4% rise in consumer's incomes causes an 8% rise in product's demand, the income elasticity of demand for the product will be:

- 0.5

- 2.0

- 1.5

- 2.5

- Correct option: 2.0

4. Microeconomics is the branch of economics that deals with which of the following?

- Inflation, unemployment, and consumption

- Individual consumers, individual firms, and factor pricing

- Individual consumers, individual firms, and factor pricing

- Economic growth, stock market, and interest rate

- Correct option: Individual consumers, individual firms, and factor pricing

5. The more inelastic the demand, the more of the tax's burden will fall on:

- Consumers.

- Government.

- Producers.

- Middle man.

- Correct option: Consumers.

6. If the price of a good X is increased by 15% and its quantity demanded falls by 25%, the price elasticity of demand is:

- Elastic

MAM MEHWISH 03184148783

- Inelastic
- Perfectly Inelastic
- Unit elastic
- Correct option: Inelastic

7. When the absolute value of price elasticity of demand is greater than one, it shows that demand is:
- Inelastic
- Unit elastic
- Perfectly inelastic
- Elastic
- Correct option: Elastic

8. If there is an increase in the price of oil from Rs.100/liter to Rs.110/liter, the change in the quantity demanded of oil can be shown by:
- Shifting the demand curve rightward
- Shifting the demand curve leftward
- Moving down along the same demand curve
- Moving up along the same demand curve
- Correct option: Moving down along the same demand curve

9. In the context of demand and supply, what causes a shift in the supply curve?
- Changes in any determinant of supply other than price of good
- Changes in consumer taste
- Changes in price of good itself
- Changes in market structure
- Correct option: Changes in any determinant of supply other than price of good

10. When the government sets the price of a good below the equilibrium price, the result will be:
- A surplus of the good.

MAM MEHWISH 03184148783

- A decrease in the demand for the good.
- An increase in the supply of the good.
- A shortage of the good.
- Correct option: A shortage of the good.

1. "Q = a – bP" represents equation of:

- A. Demand function
- B. Budget line
- C. Labor supply
- D. Supply function
- Correct Option: A. Demand function

2. The demand for oranges is expressed as Qd = 100 - P and the supply of oranges is expressed as Qs = 4P. If the equilibrium price of oranges is Rs. 20, the equilibrium quantity of oranges is:

- A. 100
- B. 55
- C. 80
- D. 60
- Correct Option: D. 60

3. The services of land and capital are exchanged through:

- A. Money market
- B. Factor market
- C. Capital market
- D. Perfectly elastic demand
- Correct Option: B. Factor market

4. When total revenue of a firm increases due to increase in price, it means that firm is facing:

- A. Inelastic demand

MAM MEHWISH 03184148783

- B. Elastic demand
- C. Perfectly elastic demand
- D. Unit elastic demand
- Correct Option: A. Inelastic demand

5. If Nestle Company has elastic demand for Nestle juices, then increase in price of Nestle juices will:

- A. Increase total revenue.
- B. Increase marginal revenue.
- C. Bring no change in total revenue.
- D. Decrease total revenue.
- Correct Option: D. Decrease total revenue.

6. When an industry's raw material costs decrease, other things remaining the same then:

- A. The demand curve for computers shifts to the left.
- B. The supply curve shifts to the right.
- C. The supply curve shifts to the left.
- D. The demand curve for computers shifts to the right.
- Correct Option: B. The supply curve shifts to the right.

7. A supply schedule is a table which shows various combinations of:

- A. Quantity demanded and price.
- B. Quantity supplied and price.
- C. Market demand and price.
- D. Quantity demanded and quantity supplied.
- Correct Option: B. Quantity supplied and price.

8. The demand for a book is expressed as Qd = 100 - P and the supply of the same book is expressed as Qs = 4P. What is the equilibrium price for this book?

- A. Rs. 15

MAM MEHWISH 03184148783

- B. Rs. 20
- C. Rs. 23
- D. Rs. 25
- Correct Option: B. Rs. 20

9. Factor markets, which are also termed as resource markets, exchange the:

- A. Services of factors
- B. Discounted shares
- C. Debentures
- D. Money
- Correct Option: A. Services of factors

10. The law of supply states that the quantity supplied will go up if:

- A. Price goes down, other things remaining same.
- B. Income goes up
- C. Income goes down
- D. Price goes up, other things remaining same.
- Correct Option: D. Price goes up, other things remaining same.

1. Which of the following is a positive statement?

Options:

A. Women should earn the same salary as men.

B. The government should impose more direct taxes than indirect taxes.

C. When the price of a good goes up, consumers buy less of it.

D. Taxes should be lower to promote business activity.

Correct Option: C

2. An equilibrium is a state in which:

Options:

MAM MEHWISH 03184148783

A. There is neither shortage nor surplus.

B. There is shortage.

C. There is surplus.

D. Shortage and surplus both exist.

Correct Option: A

3. If car and petrol are complements, then an increase in the price of car will cause:

Options:

A. An increase in the demand for car.

B. Less petrol to be demanded at each price.

C. An increase in the price of petrol.

D. A rightward shift in the demand curve for petrol.

Correct Option: D

4. If the current market price is above the market clearing level, We will expect a:

Options:

A. Surplus to accumulate.

B. Shift in the supply curve.

C. Shift in the demand curve.

D. Shortage to accumulate.

Correct Option: A

5. If a 4% rise in consumer's incomes causes an 8% rise in product's demand, the income elasticity of demand for the product will be:

Options:

A. 1.5.

B. 2.5.

C. 0.5.

D. 2.

MAM MEHWISH 03184148783

Correct Option: A

6. Demand is said to be_____when the value of price elasticity of demand is zero.

Options:

A. Elastic.

B. Perfectly inelastic.

C. Inelastic.

D. Unit elastic.

Correct Option: B

7. Production possibility frontier analysis assumes that resources:

Options:

A. Are used in a technically efficient way.

B. Are saved for emergency use.

C. Are used to produce thousands of goods.

D. Are increased with production.

Correct Option: A

8. A 40 percent increase in demand for cars results from a 20 percent decline in fuel prices. The cross price elasticity of demand in this case is:

Options:

A. 201/2240

B. -2

C. 0.125

D. 5

Correct Option: B

9. What is the focus of Economics?

Options:

MAM MEHWISH 03184148783

A. Languages

B. Environment

C. Allocation of resources

D. Political ideologies

Correct Option: C

10. A supply schedule is a table which shows various combinations of:

Options:

A. Market demand and price

B. Quantity demanded and quantity supplied.

C. Quantity demanded and price.

D. Quantity supplied and price.

Correct Option: D

1. How we can define the term "assumption" in Economics?

- A. A well-reasoned hypothesis
- B. A belief about truth without proof (Correct)
- C. A prediction based on data
- D. A belief about truth with proof

2. Elasticity is a very important concept in economics because:

- A. All of the given options (Correct)
- B. It helps the firms to set their prices.
- C. It helps the firms in advertising strategies.
- D. It helps the government to collect revenues from taxes.

3. Resources have alternative uses in economics because:

- A. Resources are unlimited
- B. Resources are abundant

MAM MEHWISH 03184148783

- C. Resources are renewable

- D. Resources are scarce (Correct)

4. The demand for apples is expressed as Qd = 80 - P and the supply of apples is expressed as Qs = 3P. What is the equilibrium price for apples?

- A. Rs. 10

- B. Rs. 15

- C. Rs. 20 (Correct)

- D. Rs. 25

5. Microeconomics is the branch of economics that deals with which of the following?

- A. Aggregate demand and supply

- B. Individual consumers, individual firms, and factor pricing (Correct)

- C. Inflation, unemployment, and consumption

- D. Economic growth, stock market, and interest rate

6. If opportunity cost decreases with each additional unit produced, then it is the principle of:

- A. Constant opportunity cost

- B. Decreasing opportunity cost (Correct)

- C. Increasing opportunity cost

- D. Constant increasing cost

7. When the price of CD players increases, its total revenue decreases. This shows that demand for CD players is:

- A. Price inelastic

- B. Unit price elastic

- C. Perfectly price inelastic

- D. Price elastic (Correct)

MAM MEHWISH 03184148783

8. If Nestle Company has elastic demand for Nestle juices, then increase in price of Nestle juices will:

- A. Increase total revenue.
- B. Increase marginal revenue.
- C. Bring no change in total revenue. (Correct)
- D. Decrease total revenue.

9. If there is an increase in long-term economic growth, then the production possibility frontier will:

- A. Move downward on the same curve.
- B. Shift outward. (Correct)
- C. Shift inward.
- D. Remain the same.

10. Which of the following is the optimal choice?

- A. Irrational choice
- B. Rational choice (Correct)
- C. Random choice
- D. Unplanned choice

1. Price elasticity of supply = Percentage change in Quantity demanded / Percentage change in Price

Options:

A) Percentage change in Quantity demanded / Percentage change in Price

B) Percentage change in price / Percentage change in Demand

C) Change in price / Change in Demand

D) Percentage change in Quantity demanded / Percentage change in Price

Correct Option: D

2. An outward shift of the production possibility frontier may be caused by:

Options:

A) Increase in the demand

MAM MEHWISH 03184148783

B) Productive inefficiency

C) A technological innovation

D) Increase in the price

Correct Option: C

3. If X is a normal good, a rise in money income will shift the:

Options:

A) Supply curve for X to the right

B) Demand curve for X to the right

C) Demand curve for X to the left

D) Supply curve for X to the left

Correct Option: B

4. When the cost of labor increases then it will lead to shift in:

Options:

A) Demand curve towards right.

B) Supply curve towards right.

C) Supply curve towards left.

D) Demand curve towards left.

Correct Option: C

5. Inferior goods have negative income elasticity and luxury goods have:

Options:

A) Income elasticity less than zero

B) Income elasticity less than one

C) Income elasticity greater than one

D) Income elasticity equal to one

Correct Option: C

MAM MEHWISH 03184148783

6. Suppose a consumer is spending all of his income (budget) on food and clothing. Which of the following factors will shift consumer's budget line to the left?

Options:

A) Decrease in consumer's income

B) An increase in price of clothing

C) A decrease in price of clothing

D) An increase in price of food

Correct Option: A

7. Which of the following is NOT a factor of production?

Options:

A) Demand

B) Land

C) Capital

D) Labour

Correct Option: A

8. Coffee and tea are considered as substitutes, if price of tea decreases then it will shift:

Options:

A) Demand curve for coffee towards left.

B) Demand curve for tea towards left.

C) Demand curve for coffee towards right.

D) Supply curve for coffee towards right.

Correct Option: A

9. Suppose a consumer is spending all of his income on food (measured on x-axis) and books (measured on y-axis). Which of the following will pivot the budget line outward towards x-axis?

Options:

A) Increase in price of food

MAM MEHWISH 03184148783

B) Increase in price of books

C) Decrease in price of food

D) Decrease in price of books

Correct Option: C

10. Cross-price elasticity of demand for the substitute goods will always be:

Options:

A) Positive

B) Infinity

C) Negative

D) Zero

Correct Option: A

MAM MEHWISH 03184148783

🔥🔥 **Paid Vu Lms Handling** 🔥🔥

♦ **1 GDB= Rs 100**

♦ **1 Quiz= Rs 200**

♦ **1 Assignment=Rs 250**

💎 **Agr complete handling krwatey hain 1 subject ki with all activities= Rs 500 (Half Semester)** 💎

LECTURES Play Service Available In Very Low Price. 📱

🎓🎉 **80-100% Marks Guaranteed** 🎉🎓

🔥 **Miss Mehwish:03184148783**🔥

MAM MEHWISH 03184148783